CASCADIA ANALYTICS

Cardinal Infrastructure Group Inc.

Equity Research Note | CDNL | 22 OCTOBER 2026

Southeast Infrastructure Roll-Up

Cardinal Infrastructure screens as a Buy with a $52.70 blended target, 285% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$13.69	$52.70	+285%	BUY

Investment Thesis

Southeast Infrastructure Roll-Up. Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K]. Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -20.2% implied revenue CAGR, below the 6.0% bear case [DCF model]. 272% Upside If Execution Holds. At

- Southeast Infrastructure Roll-Up
- Margins Are the Whole Story
- 272% Upside If Execution Holds

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The latest print

Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6%. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -20.2% implied revenue CAGR, below the 6.0% bear case.

272% Upside If Execution Holds. At $13.69, DCF base $50.90 implies 272% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but thin cash flow conversion is the sword of Damocles until margins recover.

$226.9M	12.4%	$4.7M	$880-900M	Below prior 20%+	$313M
REVENUE (Q2 '26)	ADJ EBITDA MARGIN (Q2 '26)	NET INCOME (Q2 '26)	FY2026 REVENUE GUIDE (LIFTED)	FY2026 EBITDA MARGIN GUIDE (CUT)	MARKET CAP

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$226.9M	+114%	Up
Adj EBITDA Margin (Q2 '26)	12.4%	-620 bps (18.6% PY)	Down
Net Income (Q2 '26)	$4.7M	-35%	Down
FY2026 Revenue Guide (lifted)	$880-900M	Raised from $665-678M	Up
FY2026 EBITDA Margin Guide (cut)	Below prior 20%+	Margin guide cut on raise	Down
Market Cap	$313M	-84% from 52w high $96.40	Down
Forward P/E	4.5x	vs trailing 17.2x	Down

The moat

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution

The growth engine

Self-performing civil and site development model across high-growth Southeast markets

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	6.0%	$1.11B	11.8%	**$40.00**	+192%
Base	50%	12.0%	$1.40B	12.3%	**$50.90**	+272%
Bull	25%	18.0%	$1.74B	13.8%	**$69.00**	+404%

Bear: downside case at $40.00 (+192%).

Base: central case at $50.90 (+272%).

Bull: upside case at $69.00 (+404%).

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The probability-blended target implies 285% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +285% from the $13.69 reference price.

$52.70
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$890M**
Valuation horizon	**2026-2030**
Live WACC	**6.96%**
Terminal growth	**2.5%**
Net cash	**$142M**
2030 FCF (Base)	**$94.6M**
10-year Treasury yield	**5.0%**
Beta	**0.74**
Equity risk premium	**3.5%**

BUY | $52.70 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -20.2%, below Bear case (6%) — pessimistic.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-35%	$0.3B	$8.27	-15%	$0.6B	$16.41	+5%	$1.4B	$32.19
-34%	$0.3B	$8.55	-14%	$0.7B	$16.98	+6%	$1.4B	$33.24
-33%	$0.3B	$8.83	-13%	$0.7B	$17.58	+7%	$1.5B	$34.33
-32%	$0.3B	$9.13	-12%	$0.7B	$18.20	+8%	$1.5B	$35.44
-31%	$0.3B	$9.45	-11%	$0.8B	$18.84	+9%	$1.6B	$36.59
-30%	$0.3B	$9.77	-10%	$0.8B	$19.50	+10%	$1.7B	$37.76
-29%	$0.3B	$10.11	-9%	$0.8B	$20.18	+11%	$1.7B	$38.97
-28%	$0.4B	$10.46	-8%	$0.8B	$20.88	+12%	$1.8B	$40.21
-27%	$0.4B	$10.82	-7%	$0.9B	$21.60	+13%	$1.8B	$41.48
-26%	$0.4B	$11.20	-6%	$0.9B	$22.35	+14%	$1.9B	$42.79
-25%	$0.4B	$11.59	-5%	$1.0B	$23.12	+15%	$2.0B	$44.13
-24%	$0.4B	$12.00	-4%	$1.0B	$23.91	+16%	$2.0B	$45.50
-23%	$0.4B	$12.42	-3%	$1.0B	$24.73	+17%	$2.1B	$46.91
-22%	$0.5B	$12.86	-2%	$1.1B	$25.57	+18%	$2.2B	$48.35
-21%	$0.5B	$13.32	-1%	$1.1B	$26.43	+19%	$2.2B	$49.83
-20%	**$0.5B**	**$13.79**	+0%	$1.2B	$27.33	+20%	$2.3B	$51.34
-19%	$0.5B	$14.28	+1%	$1.2B	$28.24	+21%	$2.4B	$52.90
-18%	$0.6B	$14.78	+2%	$1.2B	$29.19	+22%	$2.4B	$54.49
-17%	$0.6B	$15.31	+3%	$1.3B	$30.16	+23%	$2.5B	$56.12
-16%	$0.6B	$15.85	+4%	$1.3B	$31.16			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1.76B	—	2.5%	$142M	$1.90B	**$40.00**
Base	$2.28B	—	2.5%	$142M	$2.42B	**$50.90**
Bull	$3.14B	—	2.5%	$142M	$3.28B	**$69.00**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 92.9% of Base enterprise value (Bear 91.3%, Bull 95.0%). The terminal WACC is 7.46% in Base (Bear 7.46%, Bull 7.46%), on a terminal beta of 0.93 (Bear 0.93, Bull 0.93).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$40.00	$42.78	$47.45	$49.63	$51.62	$53.42
Base	$50.90	$54.44	$59.70	$62.78	$65.67	$68.46
Bull	$69.00	$73.80	$80.27	$84.91	$89.48	$94.04

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $52.70 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution

Self-performing civil and site development model across high-growth Southeast markets

The FY2026 adjusted EBITDA margin guide was cut from the prior 20%+ target; Q2 printed a 12.4% adjusted EBITDA margin

Revenue and margin trend

METRIC	2024	2025	TTM	Q2 '26	FY2026E
Revenue	n/a	$0.46B	$0.67B	$0.23B	$880-900M
Gross Margin	n/a	21.1%	n/a	n/a	n/a
Op Margin	n/a	8.8%	7.0%	n/a	n/a

Valuation cross-check

Fwd P/E 4.5x

DCF Base $50.90

NTM EV/EBITDA 3.5x

272% upside to the base case. But the reverse DCF implies -20.2% revenue CAGR: the market is pricing contraction, so the discount may be earned, not gifted.

Heavy civil/infrastructure peers trade mid-single-digit EV/EBITDA

CDNL screens at or below peer multiples despite a faster revenue trajectory. Peers are larger, less leveraged and more diversified, which justifies some discount.

Stock $13.69 vs 52w high $96.40

Down roughly 84% from the high as margin compression and acquisition digestion reset expectations. Limited public history makes historical comparison thin.

What to monitor

Nov 2026. Q3 2026 Earnings (Two-Sided): Adj EBITDA margin was 12.4% in Q2 vs 18.6% a year ago. Recovery toward the 20% target is the entire bull case test.

2026. ALGC Integration (Two-Sided): Acquisition closed Feb 18, 2026 and drives the $880-900M revenue guide. Execution and margin accretion are unproven.

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2026-2027. Southeast Infrastructure Cycle (Positive): Civil and site development demand across high-growth SE markets supports backlog, but is cyclical and weather-exposed.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2025	$456M	$96M	$40M	$72M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2025	$395M	$255M	$58M	$97M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2025	$38M	$-44M	$140M	$-6M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $52.70 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 67 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.76% of shares outstanding. Form 4 filings over the trailing six months show $9.57M of open-market purchases against $0 of sales, a net flow of $9.57M. One-year total shareholder return is -37.7% against CEO total pay of $450.0K (Mr. Jeremy Spivey), which the model scores as SUB-OPTIMAL ALIGNMENT.

67

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	8.76% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $9.57M (8) vs sales $0 (0), net $9.57M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -37.7%; Mr. Jeremy Spivey, CEO & Chairman, total pay $450.0K
Agency Risk Score	**67 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-17	Wimmer Richard Bennett	Director	BUY	7,500	$293.5K
2026-08-14	Zelman Ivy	Director	BUY	12,647	$500.9K
2026-08-14	Lee Richard Melvin Jr.	Director	BUY	34,000	$1.25M
2026-08-14	Spivey Jeremy Simmons	Chief Executive Officer	BUY	83,350	$3.20M
2026-08-14	Rowe Michael Bruce Jr.	Chief Financial Officer	BUY	7,000	$255.7K
2026-08-14	Wood Benjamin A.	Chief Operating Officer	BUY	25,700	$1.01M
2026-08-14	Wood Anthony Leon Jr	Director	BUY	51,400	$2.02M
2026-05-27	Wood Benjamin A.	Chief Operating Officer	BUY	20,000	$1.03M

SEC proxy audit, DEF 14A filed 2026-04-24

Alignment grade D. COMPENSATION DATA EXCLUDED FROM EXCERPT. Jeremy Spivey, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The excerpt terminates prior to page 26, omitting the Summary Compensation Table and CD&A disclosures necessary to quantify executive pay. However, disclosures reveal significant insider liquidity surrounding the December 2025 IPO, including an $83.3 million unit redemption to CEO Jeremy Spivey alongside ongoing related-party lease arrangements. Because the IPO closed on December 9, 2025, the Compensation Committee held zero formal meetings during fiscal 2025, leaving governance oversight newly nascent.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/2079999/000119312526177393/cdnl-20260424.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Margin Collapse

Adjusted EBITDA margin fell to 12.4% in Q2 from 18.6% a year ago, and management cut the full-year margin guide even while lifting revenue. Acquisition mix is diluting profitability.

Leverage on a Small Base

$197M of debt against $339M of cash (a net cash position of $142M) with thin cash flow conversion. Small caps with leverage have limited room for error if margins stay depressed.

Cyclical + Integration Risk

Civil and site development is cyclical, weather-exposed, and concentrated in the Southeast. The ALGC acquisition adds integration risk on top of cycle risk.

The strengths

Operating Quality

Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins, and balance sheet in a net cash position ($142M). Cyclical, weather-exposed, no pricing power.

Recent Trend

Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, net income fell 35%, and the stock is down 84% from its high. Growth without profit.

Forward Growth

Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. But the margin guide was cut, integration is unproven, and civil construction is cyclical.

Valuation

DCF base $50.90 vs spot $13.69 implies 272% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -20.2% revenue CAGR, below the 6.0% bear case: the market prices contraction.

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Cascadia scorecard

Composite score 54: Fair. Confidence Medium, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins, and balance sheet in a net cash position ($142M). Cyclical, weather-exposed, no pricing power.	40
Recent Trend	Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, net income fell 35%, and the stock is down 84% from its high. Growth without profit.	50
Forward Growth	Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. But the margin guide was cut, integration is unproven, and civil construction is cyclical.	55
Valuation	DCF base $50.90 vs spot $13.69 implies 272% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -20.2% revenue CAGR, below the 6.0% bear case: the market prices contraction.	72
Catalysts & Risk	Q3 margin recovery is the make-or-break catalyst. Risks dominate: execution risk on a small-cap base, ALGC integration, cyclical SE construction exposure, thin analyst coverage. Negatively skewed until margins stabilize.	45

Investment view

Q3 margin trajectory is the swing factor: sustained adjusted EBITDA recovery toward 20% would validate the bull case and the base case at $50.90. Further erosion, or debt stress, would confirm the market's -20.2% implied contraction.

Investment view: Buy. The $52.70 blended target implies +285%, balancing the $40.00 / $50.90 / $69.00 Bear / Base / Bull outcomes.

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